



INTEREST PAID ON MORTGAGES

Making money

Banks make money from loans by charging interest, from current accounts by charging fees and overdraft penalties, and from business accounts through transaction charges.



INTEREST PAID ON LOANS



INTEREST RATES ON SAVINGS ACCOUNTS



DIVIDENDS TO SHAREHOLDERS



OVERDRAFT CHARGES



MONTHLY OR ANNUAL FEES ON SAVINGS ACCOUNTS



CHARGES FOR TRANSACTIONS ON BUSINESS ACCOUNTS

Capital reserve

A sum of money that a bank is not permitted to lend or invest. Banks keep capital reserves to protect themselves from mass withdrawals by customers or heavy losses from bad loans. The reserves are typically a fraction of deposits.



ANNUAL FEES AND MONTHLY CHARGES ON CREDIT CARDS

Attracting new customers

It is cheaper and easier for banks to sell products to existing customers—a practice known as cross-selling—since they know more about those customers' individual financial circumstances.

Paying money

Banks pay interest on savings accounts, and usually on credit balances in current accounts. They also pay dividends to shareholders out of their profits.

Bank